

MINGZHE LI

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School of Economics and Management, Shihezi University

EDUCATION

Shihezi University

2024-Present

M.F., *Expected Graduation: June 2027*

Sichuan University

2023

B.E. in Computer Science

WORKING PAPERS

Portfolio Choice for Heterogeneous Investors (June 17, 2025). *Available at SSRN 5303434*

Abstract: This paper proposes a portfolio choice model that explains a wide variety of investor behaviors in household finance, including limited participation, underdiversification, and hump-shaped risky share over the life cycle. The model introduces an asset-exposure premium (AEP) as the marginal welfare valuation of systematic risk, driven by the intertemporal risk preference to wealth that increases monotonically from zero at the borrowing constraint to the CRRA coefficient at infinite wealth. By evolving from a prohibitive welfare cost near the borrowing constraint to a welfare benefit and eventually vanishing at high wealth, the AEP naturally rationalizes these phenomena. The model posits a fundamentally intuition: households optimize portfolios based on the wealth-dependent welfare valuation of systematic versus idiosyncratic risk of assets.

WORK IN PROGRESS

Household Problem with Risk Heterogeneity: A Continuous-Time Framework (2026)

Abstract: The classical framework assumes that the evolution of household welfare is deterministic and does not respond to risk sources, thus failing to distinguish the impact of aggregate risk versus idiosyncratic risk on household financial decisions. This paper relaxes this assumption, allowing the cost functional to have a stochastic response to any risk source. Using the Malliavin derivative as a sensitivity measure, the generalized HJB equation is derived through the Itô-Wentzell-Kunita formula. Compared to the classical framework, the generalized HJB equation includes a new term characterizing the cross-effect between household endowment risk exposure and welfare sensitivity to risk sources. We identify when the classical framework holds: risk sources do not directly affect household endowments (stochastic discounting, preference shocks, bequest functions, etc.), or households have no risk exposure (the Huggett model in continuous time).

SEMINARS AND CONFERENCE

2026: NASM of the Econometric Society (waitlist)

RESEARCH PROJECT

Julia Implementation of "Financial Frictions and the Wealth Distribution" (2024)

Abstract: Independent implementation and replication of the model in "Financial Frictions and the Wealth Distribution, Fernández-Villaverde et al. (2023)" using Julia.

Open-Source Contribution for Modernization of "Recursive Macroeconomic Theory" Codebase (2024) Available at GitHub Repository

Abstract: This repository contains Matlab solutions and updated functions from Ljungqvist & Sargent's textbook (2018, MIT) for compatibility with Matlab 2024+.

PERSONAL

Technical Skills

Julia, Matlab, Python, L^AT_EX

Languages

Chinese (Native proficiency), English (Fluent)

Last updated: April 14, 2026